Sunteck Realty Ltd.

Date: 1st October, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001
Scrip Code: 512179

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
4th Floor, Bandra Kurla Complex,
Bandra (East), Mumbai 400 051
Symbol: SUNTECK

Sub: Intimation under Regulation 37 (6) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') – Scheme of Arrangement between Satguru Corporate Services Private Limited ("Demerged Company" or "Satguru") and Sunteck Realty Limited ("Resulting Company" or "Sunteck") and their respective shareholders.

Dear Sir / Madam,

We refer to our letter dated 1st October, 2026 submitted under Regulation 30 of the Listing Regulations, intimating that the Board of Directors of Sunteck Realty Limited ("the Company") at its meeting held on 1st October, 2026 have considered and approved the Scheme of Arrangement between Satguru Corporate Services Private Limited ("Demerged Company" or "Satguru") and Sunteck Realty Limited ("Resulting Company" or "Sunteck") and their respective shareholders under Section 230-232 of the Companies Act, 2013 (**'Scheme'**), subject to requisite approvals as may be required.

In accordance with SEBI Master Circular on Scheme of Arrangement (SEBI/HO/CFD/POD-2/P/CIR/2023/93) dated June 20, 2023 ('SEBI Circular'), the provisions of Regulation 37 of the Listing Regulations, is not applicable to draft schemes which solely provide for demerger of a wholly owned subsidiary with its parent company. Satguru is wholly owned subsidiary of the Company. Hence 'No-Objection Letter' or 'Observation Letter' to the Scheme from the Stock Exchanges on which the securities of the Company are listed is not applicable.

Further, in accordance with SEBI Circular, we hereby enclose the above-mentioned documents for the purpose of disclosure:

1. Certified copy of the Scheme of Arrangement between Satguru Corporate Services Private Limited ("Demerged Company" or "Satguru") and Sunteck Realty Limited ("Resulting Company" or "Sunteck") and their respective shareholders; and

2. Certified true copy of the Resolutions passed by the Board of Directors of the Resulting Company and Demerged Company dated 1st October, 2026, approving the Scheme.

Please take the same on your records.

Thank You.

Yours truly,
For Sunteck Realty Limited

Rachana Vipul Hingarajia
Digitally signed by Rachana Vipul Hingarajia
Date: 2026.10.01 21:16:15 +05'30'

Rachana Hingarajia
Company Secretary
(ACS: 23202)

Encl.: a/a

SCHEME OF ARRANGEMENT

BETWEEN

SATGURU CORPORATE SERVICES PRIVATE LIMITED
("DEMERGED COMPANY" OR "SATGURU")

AND

SUNTECK REALTY LIMITED
("RESULTING COMPANY" OR "SUNTECK")

AND

THEIR RESPECTIVE SHAREHOLDERS

(UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013)

Satguru Corporate Services Pvt. Ltd.

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A. PREAMBLE AND OVERVIEW OF THE SCHEME

a) This Scheme of Arrangement ("Scheme" or "this Scheme", as more particularly defined hereinafter) between Satguru Corporate Services Private Limited ("Demerged Company" or "Satguru") and Sunteck Realty Limited ("Resulting Company" or "Sunteck") and their respective shareholders is presented under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Section 2(35) and other applicable provisions of the Income-tax Act, 2025, including the rules and regulations issued thereunder, as may be applicable.

b) This Scheme provides for the transfer and vesting, by way of demerger, of the Demerged Business Undertaking (as more particularly defined hereinafter) of the Demerged Company into the Resulting Company on a going concern basis, without any further act, instrument or deed, together with all matters incidental, consequential, supplemental or otherwise connected therewith.

B. BACKGROUND AND DESCRIPTION OF THE COMPANIES

a) Satguru Corporate Services Private Limited ("Demerged Company" or "Satguru")

1. Satguru is an unlisted private limited company incorporated on 4th January 2011, under the provisions of the Companies Act, 1956 and having Corporate Identification Number ("CIN") U74120MH2011PTC211816. Its registered office is situated at 5th Floor, Sunteck Centre, Subhash Road, Vile Parle (East), Mumbai – 400057.

2. Satguru is currently engaged in the business of real estate construction/ real estate development and incidental services.

3. Satguru is wholly owned subsidiary of Sunteck Realty Limited.

b) Sunteck Realty Limited ("Resulting Company" or "Sunteck")

1. Sunteck is a listed entity incorporated on 1st October 1981 under the provisions of the Companies Act, 1956 and having CIN: L32100MH1981PLC025346. Its registered office is situated at 5th Floor, Sunteck Centre, 37-40 Subhash Road, Vile Parle (East), Mumbai – 400057

2. Sunteck is primarily engaged in the business of real estate construction / real estate development and incidental services

C. RATIONALE OF THE SCHEME

The Demerged Company and the Resulting Company are engaged in the business of real estate construction, real estate development and related services. The Demerged Company, a wholly owned subsidiary of the Resulting Company, holds, inter alia, the residential real estate project known as **"Sunteck City 4th Avenue"** in Mumbai, Maharashtra.

Pursuant to the Sunteck group's business reorganisation, it is proposed to transfer and vest the said project undertaking from the Demerged Company to the Resulting Company on a going concern basis by way of a demerger. The proposed demerger is driven by the following business considerations

1. Consolidation of the Demerged Business Undertaking:

The transfer of the Demerged Business Undertaking to the Resulting Company will consolidate the residential real estate project with the Resulting Company's existing residential development portfolio, thereby enabling a focused and integrated approach towards its planning, execution, marketing and value maximisation.

2. Administrative and operational efficiencies:

The consolidation is expected to streamline administrative and operational processes, facilitate optimal utilisation of common infrastructure and resources, reduce duplication of functions and costs, and enable the Demerged Company to focus its management bandwidth and resources on its remaining businesses and assets.

3. Efficient pooling and deployment of resources:

The Scheme will facilitate efficient pooling and deployment of financial, managerial and operational resources, enable project-specific capital allocation and funding strategies, and provide enhanced financial flexibility for the development and execution of the Demerged Business Undertaking.

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D. PARTS OF THE SCHEME

This Scheme is divided into the following parts:

Part I - Deals with Definitions, Interpretation and Share Capital;

Part II - Deals with transfer and vesting of the Demerged Business Undertaking from the Demerged Company into the Resulting Company;

Part III - Deals with the general terms and conditions applicable to this Scheme.

E. TREATMENT OF THE SCHEME FOR THE PURPOSES OF IT ACT

The provisions of this Scheme have been drawn up to comply with the conditions relating to "Demerger" (as applicable) as defined under Section 2(35) read with other applicable provisions of the Income-tax Act, 2025. If, at a later date, any of the terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of Section 2(35) of the Income-tax Act, 2025, including as a result of an amendment of law or enactment of new legislation or any other reason whatsoever, the provisions of Section 2(35) of the Income-tax Act, 2025, or corresponding provisions of any amended or newly enacted law, shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(35) of the Income-tax Act, 2025 or such newly enacted law or new legislation. Such modifications will, however, not affect the other provisions of the Scheme.

PART I

DEFINITIONS, INTERPRETATION AND SHARE CAPITAL

1. DEFINITIONS

1.1 In this Scheme, unless inconsistent with the subject or context thereof, (i) capitalized terms defined by inclusion in quotations and/or parenthesis have the meanings so ascribed; (ii) subject to (iii) hereinafter, all terms and words not defined in this Scheme shall have the same meaning ascribed to them under Applicable Laws; and (iii) the following expressions shall have the meanings respectively assigned against them:

1.1.1 **"Act"** means the Companies Act, 2013 and the rules and regulations made thereunder as the case may be, and shall include any statutory modifications, re-enactment or amendments thereof for the time being in force;

1.1.2 **"Appointed Date"** means 1st April 2026 or such other date as may be approved by the NCLT;

1.1.3 **"Applicable Law"** means any applicable central, provincial, local or other law including all applicable provisions of all (a) constitutions, decrees, treaties, statutes, laws (including the common law), codes, notifications, rules, regulations, policies, guidelines, circulars, directions, directives, ordinances or orders of any Appropriate Authority, statutory authority, court, tribunal having jurisdiction over the Parties; (b) Permits; and (c) orders, decisions, injunctions, judgments, awards and decrees of or agreements with any Appropriate Authority having jurisdiction over the Parties as may be in force from time to time;

1.1.4 **"Appropriate Authority"** means:

(a) the government of any jurisdiction (including any central, state, provincial, municipal or local government or any political or administrative subdivision thereof) and any department, ministry, agency, instrumentality, court, central bank, commission or other authority thereof;

(b) any governmental, quasi-governmental or private body or agency lawfully exercising, or entitled to exercise, any administrative, executive, judicial, legislative, regulatory, licensing, competition, tax, importing or other governmental or quasi-governmental authority, NCLT (as defined hereinafter),

(c) Such other sectoral regulators or authorities as may be applicable.

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1.1.5 **"Board of Directors" or "Board"** means the Board of Directors of the Demerged Company and / or of the Resulting Company as the context may require and shall, unless it be repugnant to the context or otherwise, include a duly constituted committee of directors or any person(s) authorized by the Board of Directors or such committee of directors;

1.1.6 **"Demerged Company"** means **Satguru Corporate Services Private Limited ("Satguru"),** a private limited company incorporated under the Companies Act, 1956, having CIN: U74120MH2011PTC211816 and having its registered office at 5th Floor, Sunteck Centre, 37-40 Subhash Road, Vile Parle (East), Mumbai – 400057;

1.1.7 **"Demerged Business Undertaking"** shall mean and include the residential real estate project under "Sunteck City 4th Avenue Undertaking" (as defined hereinafter) as a going concern including all its activities and operations of the Demerged Company as identified by the Board of Directors of the Demerged Company, with all properties, assets, technical experience, related employees, personnel and credentials including all debts, liabilities, duties and obligations, leases, litigations, working capital (including all inventories), whether tangible or intangible, and such other ventures and shall include ancillary and support services in relation to the same, to be transferred to the Resulting Company with effect from the Appointed Date, and shall include (without limitation):

(a) all the movable and immovable properties, tangible or intangible, including all computers and accessories, software, applications and related data, furniture, fixtures, vehicles, stocks and inventory, leasehold assets and other properties, real, corporeal and incorporeal, in possession or reversion, present and contingent assets (whether tangible or intangible) of whatsoever nature, investments, cash in hand, amounts lying in the banks, escrow accounts, claims, powers, authorities, allotments, approvals, consents, letters of intent, registrations, contracts, engagements, arrangements, rights, credits, titles, interests, benefits, advantages, freehold/ leasehold rights, brands, sub-letting tenancy rights, leave and license permissions, goodwill, other intangibles, licenses, approvals, permits, authorizations, trademarks, trade names, patents, patent rights, copyrights, and other intellectual properties and rights of any nature whatsoever including know-how, websites, portals, domain names, or any applications for the above, assignments and grants in respect thereof, right to use and avail of telephones, telex, facsimile, email, internet, leased lines and other communication facilities, connections, installations and equipment, electricity and electronic and all other services of every kind, nature and description whatsoever, provisions, funds, and benefits (including all work-in progress), of all agreements, arrangements, deposits, advances, recoverable and receivables, whether from government, semi-government, local authorities or any other Person including customers, contractors or other counter parties, etc., all earnest monies and/ or

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deposits, privileges, liberties, easements, advantages, benefits, exemptions, licenses, privileges and approvals of whatsoever nature and wheresoever situated, belonging to or in the ownership, power or possession or control of or vested in or granted in favour of or enjoyed by the Demerged Company in relation to and pertaining to the Sunteck City 4th Avenue Undertaking;

(b) income tax (including advance tax, self-assessment tax, regular assessment tax, tax deducted at source) paid by Demerged Company pertaining to Sunteck City 4th Avenue Undertaking, unutilized credits relating to excise duties, sales tax, service tax, VAT, GST or any other Taxes by whatever name called belonging to Sunteck City 4th Avenue Undertaking , tax benefits and other claims and powers in connection with or relating to the Sunteck City 4th Avenue Undertaking;

(c) all the work experience, qualifications, capabilities, legacies and track record with Government/Non-Government agencies/bodies, contracts with clients and with vendors (including technical parameters, past performance, track record, financials, etc.) of the Demerged Company pertaining to the Sunteck City 4th Avenue Undertaking;

(d) all receivables, loans and advances, including accrued interest thereon, all advance payments, earnest monies and/or security deposits, payment against warrants, if any, or other entitlements of the Demerged Company in relation to and pertaining to the Sunteck City 4th Avenue Undertaking;

(e) Demerged Business Undertaking Liabilities (as defined hereinafter);

(f) all contracts, agreements, purchase orders / service orders, agreement with customers, purchase and other agreements with the supplier / service providers, tie-ups with insurers, operation and maintenance contracts, memoranda of understanding, memoranda of undertaking, memoranda of agreements, memoranda of agreed points, letters of intent, hire and purchase agreements, tenancy rights, equipment purchase agreement, POA (power of attorney) and other agreement and/or arrangement, as amended and restated from time to time, whether executed with customers, suppliers, contractors, lessors, licensors, consultants, advisors or otherwise, which pertains to the Sunteck City 4th Avenue Undertaking;

(g) all books, records, files, papers, engineering and process information, records of standard operating procedures, computer programs/ software along with their licenses, drawings, manuals, data, catalogues, quotations, sales and advertising materials, lists of present and former customers and suppliers, customer credit information, customer pricing information and other records whether in physical or electronic form, in connection with or relating to the Sunteck City 4th Avenue Undertaking ;

(h) Intellectual property and intellectual property rights, brands, logos, designs, labels, tradenames and trademarks of the Demerged Company in relation to and pertaining to the Sunteck City 4th Avenue Undertaking. All digital and intangible operational assets, including but not limited to Enterprise Resource Planning (ERP) systems, cloud-based

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accounting and other enterprise software licenses, access rights, usernames, passwords and credentials for all digital platforms, ownership, rights and control over email domains, websites, hosting services, digital content, social media accounts, and server access credentials and all other data assets, in relation to and pertaining to the Sunteck City 4th Avenue Undertaking ; and

(i) all employees engaged in Sunteck City 4th Avenue Undertaking.

It is clarified that any question that may arise as to whether a specific asset (tangible or intangible) or liability or employee pertains or does not pertain to the Demerged Business Undertaking shall be decided mutually by the Board of Directors of the Demerged Company and the Resulting Company.

1.1.8 **"Demerged Business Undertaking Liabilities"** means the liabilities as defined in Clause 4.6 the Scheme;

1.1.9 **"Effective Date"** means the day on which last of the conditions specified in Clause 20 (Conditionality of the Scheme / Conditions Precedent) of this Scheme are complied with or otherwise duly waived. References in this Scheme to the date of **"coming into effect of this Scheme"** or **"upon the Scheme being effective"** or **"upon the Scheme becoming effective" or "the Scheme becoming effective"** shall mean the Effective Date;

1.1.10 "**Encumbrance**" means (i) any charge, lien (statutory or other), or mortgage, any easement, encroachment, right of way, right of first refusal or other encumbrance or security interest securing any obligation of any Person; (ii) pre-emption right, option, right to acquire, right to set off or other third party right or claim of any kind, including any restriction on use, voting, selling, assigning, pledging, hypothecating, or creating a security interest in, place in trust (voting or otherwise), receipt of income or exercise; or (iii) any equity, assignments, hypothecation, title retention, restriction, power of sale or other type of preferential arrangements; or (iv) any agreement to create any of the above; and the terms "**Encumber**" or "**Encumbrances**" shall be construed accordingly;

1.1.11 **"GST"** means the central tax as defined under the Central Goods and Services Tax Act, 2017, the integrated tax as defined under the Integrated Goods and Services Tax Act, 2017, and the state tax as defined under State Goods and Services Tax acts;

1.1.12 **"IT Act"** means the Income-tax Act, 2025 and the rules and regulations made thereunder as the case may be, and shall include any statutory modifications, re-enactment or amendments thereof for the time being in force;

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1.1.13 **"INR"** means Indian Rupee, the lawful currency of the Republic of India;

1.1.14 **"NCLT"** or **"Tribunal"** means the relevant bench of the Hon'ble National Company Law Tribunal having jurisdiction over Demerged Company and Resulting Company or any other competent authority as constituted and authorized as per the provisions of the Act for approving any scheme of arrangement, compromise or reconstruction of companies under Sections 230 to 232 and other applicable provisions of the Act;

1.1.15 **"Parties"** shall mean collectively the Demerged Company and the Resulting Company and **"Party"** shall mean each of them, individually;

1.1.16 "**Permits**" means all consents, licenses, permits, permissions, authorizations, rights, clarifications, approvals, clearances, confirmations, declarations, waivers, exemptions, registrations, filings, whether governmental, statutory, regulatory and judiciary under Applicable Law;

1.1.17 **"Person"** means an individual, a partnership, a corporation, a limited liability partnership, company, an association, a joint stock company, a trust, a joint venture, an unincorporated organization or an Appropriate Authority;

1.1.18 **"Remaining Business"** means all the business, units, divisions, undertakings and assets and liabilities of the Demerged Company other than those forming part of the Demerged Business Undertaking;

1.1.19 **"RERA Registration"** means the registration granted under the Real Estate (Regulation and Development) Act, 2016, as applicable to the State of Maharashtra (including the MahaRERA Rules, regulations and circulars), in respect of the relevant real estate project, together with the associated registration number, all conditions, extensions, renewals and modifications thereto, and includes any corresponding registration under any statutory amendment or re-enactment thereof for the time being in force.

1.1.20 **"Resulting Company"** means Sunteck Realty Limited ("Sunteck"), a public limited company incorporated under the Companies Act, 1956 having CIN: L32100MH1981PLC025346 and having its registered office at 5th Floor, Sunteck Centre, 37-40 Subhash Road, Vile Parle (East), Mumbai – 400057;

1.1.21 **"RoC"** means the relevant Registrar of Companies having jurisdiction over the Parties, as the case may be;

1.1.22 **"Scheme" or "this Scheme"** means this scheme of arrangement in its present form or with any modification(s) made under Clause 17 of this Scheme as approved or directed by the NCLT;

1.1.23 **"Sunteck City 4th Avenue Undertaking"** means the residential real estate project of the Demerged Company currently known and registered as "4th Avenue Sunteck City, ODC, Goregaon West" with Maharashtra Real Estate Regulatory Authority having RERA Registration number P51800023072, together with all assets, liabilities, rights, obligations, development rights, project rights, approvals, permissions, contracts, receivables and customer arrangements etc.;

1.1.24 **"Taxation"** or **"Tax"** or **"Taxes"** means and includes any tax, whether direct or indirect, including income tax (including withholding tax, dividend distribution tax, tax collected at source), GST, excise duty, central sales tax, service tax, octroi, local body tax and customs duty, duties, charges, unearned income, transfer charges, fees, surcharge, cess, levies or other similar assessments by or payable to an Appropriate Authority, including in relation to: (a) income, services, gross receipts, premium, immovable property, movable property, assets, profession, entry, capital gains, municipal, interest, expenditure, imports, wealth, gift, sales, use, transfer, licensing, withholding, employment, payroll and franchise taxes, and (b) any interest, fines, penalties, assessments, or additions to Tax resulting from, attributable to or incurred in connection with any proceedings or late payments in respect thereof;

1.2 INTERPRETATION

In this Scheme, unless the context otherwise requires:

1.2.1 words denoting singular shall include plural and vice versa;

1.2.2 headings and bold typeface are only for convenience and shall be ignored for the purposes of interpretation;

1.2.3 references to the word "include" or "including" shall be construed without limitation;

1.2.4 a reference to an article, clause, section, paragraph or schedule is, unless indicated to the contrary, a reference to an article, clause, section, paragraph or schedule of this Scheme;

1.2.5 unless otherwise defined, the reference to the word "days" shall mean calendar days;

1.2.6 references to dates and times shall be construed to be references to Indian dates and times;

1.2.7 reference to a document includes an amendment or supplement to, or replacement or novation of, that document;

1.2.8 references to a person include any individual, firm, body corporate (whether incorporated), government, state or agency of a state or any joint venture, association, partnership, works council or employee representatives' body (whether or not having separate legal personality);

1.2.9 reference to any law or legislation or regulation shall include amendment(s), circulars,

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notifications, clarifications or supplement(s) to, or replacement, re-enactment, restatement or amendment of, that law or legislation or regulation and shall include the rules and regulations thereunder; and

1.2.10 word(s) and expression(s) elsewhere defined in the Scheme will have the meaning(s) respectively ascribed to them.

2. DATE OF TAKING EFFECT

The Scheme in its present form or with any modification(s) approved or directed by the NCLT or any amendment(s) made under Clause 17 of this Scheme shall become effective from the Appointed Date and operative from the Effective Date.

Notwithstanding anything to the contrary contained in the Scheme, for the purposes of Section 232(6) of the Act, the Scheme shall be deemed to come into effect from the Appointed Date and for which purpose, no other date, but the Appointed Date, would be relevant.

3. SHARE CAPITAL

3.1 The authorised, issued, subscribed and paid-up share capital of the Demerged Company as on the date of approval of Scheme by the Board of the Demerged Company is as under:

Share Capital	Amount (in INR)
Authorised Capital	
510,000 Equity Shares of INR 10/- each	51,00,000
TOTAL	**51,00,000**
Issued, Subscribed and Paid-up Share Capital	
10,000 Equity Shares of INR 10/- each fully paid up	100,000
TOTAL	**100,000**

Subsequent to the above date, there has been no change in the authorised, issued, subscribed and paid-up capital of the Demerged Company until the date of approval of the Scheme by the Board of the Demerged Company. On the date of approval of the Scheme by the Board of Demerged Company, the entire share capital of the Demerged Company is 100% legally and beneficially held by the Resulting Company (and its nominees).

3.2 The authorised, issued, subscribed and paid-up share capital of the Resulting Company as on the date of approval of Scheme by the Board of the Resulting Company is as under:

Share Capital	Amount (in INR)
Authorized Capital	
20,60,11,000 Equity Shares of INR 1/- each	20,60,11,000
14,00,000 Preference Shares of INR 10/- each	1,40,00,000
TOTAL	**22,00,11,000**
Issued, Subscribed and Paid-up Share Capital	
14,68,42,025 Equity Shares of INR 1/- each	14,68,42,025
TOTAL	**14,68,42,025**

Subsequent to the above date, there has been no change in the authorized, issued, subscribed and paid-up capital of the Resulting Company until the date of approval of the Scheme by the Board of the Resulting Company.

PART II

DEMERGER OF THE DEMERGED BUSINESS UNDERTAKING FROM THE DEMERGED COMPANY INTO THE RESULTING COMPANY

4. TRANSFER AND VESTING OF THE DEMERGED BUSINESS UNDERTAKING

Assets:

4.1 With effect from the Appointed Date and upon the Scheme becoming effective, and pursuant to the provisions of Sections 230 to 232 of the Companies Act, 2013 and Section 2(35) of the IT Act, and subject to the sanctions and order of NCLT, the entire Demerged Business Undertaking of the Demerged Company shall stand demerged and transferred to and vested in the Resulting Company on a going concern basis, without any further act, instrument or deed. Accordingly, all its properties and assets (whether movable or immovable, tangible or intangible) of whatsoever nature such as license, permits, trademarks, patents, quotas, approvals, lease, tenancy rights, permissions, incentives, if any and all other rights, title, interest, certificates, registrations under various legislations, contracts, consent, approvals or powers of every kind nature and descriptions whatsoever, relating to the Demerged Business Undertaking shall, by virtue of this Scheme and with effect from the Appointed Date, stand transferred to and vested in the Resulting Company so as to become the properties and assets of the Resulting Company.

4.2 Without prejudice to Clause 4.1 above, all movable assets forming part of the Demerged Business Undertaking of the Demerged Company, including plant and machinery, intangible assets, actionable claims, receivables, loans and advances, bank balances, deposits and other movable properties capable of transfer by delivery, endorsement or novation, shall stand transferred to and vested in the Resulting Company, without any further act, instrument or deed, with effect from the Appointed Date. Such transfer shall be effected on a date mutually agreed between the Boards of the Demerged Company and the Resulting Company, being a date subsequent to NCLT sanction. All movable assets forming part of the Demerged Business Undertaking, including intangible assets, actionable claims, sundry debtors, outstanding loans and advances (if any), receivables in cash or in kind or for value to be received, bank balances and deposits, including deposits paid in relation to outstanding litigations (if any) with Government, semi-Government, local and other authorities, customers and other persons, shall, without any further act, instrument or deed, stand transferred to and vested in the Resulting Company as its property from the Appointed Date. The Resulting Company may, if required, give notice in such form as it may deem fit to any person or debtor that pursuant to the Scheme, such person or debtor shall make payment or render performance to the Resulting Company and that the rights of the Resulting Company to recover or realise such amounts shall stand substituted in place of the rights of the Demerged Company, and appropriate entries shall be made in the relevant books of account.

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4.3 Without prejudice to the aforesaid, all the immovable property whether or not included in the books of the Demerged Company pertaining to the Demerged Business Undertaking, whether freehold or leasehold (including but not limited to any other document of title, rights, interest and easements in relation thereto, and any shares in cooperative housing societies associated with such immoveable property) shall stand transferred to and be vested in the Resulting Company, with effect from the Appointed Date, without any act or deed to be done or executed by the Demerged Company and/or the Resulting Company. The Resulting Company shall be entitled to and shall exercise all rights and privileges attached to the aforesaid immovable properties and shall be liable to pay the ground rent and taxes and fulfil all obligations in relation to or applicable to such immovable properties. The mutation or substitution of the title to the immovable properties shall, upon this Scheme becoming effective and with effect from the Appointed date, be made and duly recorded in the name of the Resulting Company by the Appropriate Authorities, pursuant to the sanction of this Scheme by the NCLT in accordance with the terms hereof.

4.4 Upon the Scheme becoming effective and with effect from the Appointed Date, all permits, licenses, registrations, approvals, permissions, consents, rights, entitlements and benefits (whether granted or pending), together with all contracts, agreements, arrangements, letters of intent, memoranda of understanding and expressions of interest, and all funds, receivables, privileges, memberships, lease rights, powers and facilities of whatsoever nature, forming part of or relating to the Demerged Business Undertaking, shall, pursuant to Sections 230 to 232 of the Companies Act, 2013 and without any cost or further act, instrument or deed, stand transferred to and vested in the Resulting Company as part of the demerger on a going-concern basis, so as to become the property and rights of the Resulting Company from the Appointed Date. Such permits, licenses, approvals and consents shall remain valid, effective and enforceable in favour of the Resulting Company on the same terms and conditions, to the extent permissible under applicable law, and the concerned licensors and grantors shall, where required, endorse, record or substitute the name of the Resulting Company in respect thereof, pursuant to the sanction of the Scheme by the NCLT, so as to facilitate uninterrupted continuation of the operations of the Demerged Business Undertaking. Pending such endorsement, recording or substitution by the appropriate authorities, the Resulting Company shall be authorised to carry on the business of the Demerged Business Undertaking in the name and style of the Demerged Company and under the relevant permits, licenses, approvals or consents, and shall maintain appropriate records and accounts of such operations.

4.5 All intellectual property rights of whatsoever nature forming part of or relating to the Demerged Business Undertaking, including trademarks, logos, service marks, copyrights, domain names, trade names, applications relating thereto, goodwill, know-how and trade secrets, whether or not reflected

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in the books of account of the Demerged Company, shall, without any further act, instrument or deed, stand transferred to and vested in the Resulting Company as part of the demerger on a going-concern basis, so as to become the intellectual property of the Resulting Company with effect from the Appointed Date.

Demerged Business Undertaking Liabilities

4.6 Upon effectiveness of the Scheme, all debts, liabilities, loans, obligations and duties of the Demerged Company as on the Appointed Date and relatable to the Demerged Business Undertaking ("Demerged Business Undertaking Liabilities") shall, without any further act or deed, be and stand transferred to and be deemed to be transferred to the Resulting Company to the extent that they are outstanding as on the Appointed Date. The term "Demerged Business Undertaking Liabilities" shall include:

4.6.1 the debts, liabilities obligations incurred and duties of any kind, nature or description (including contingent liabilities) which arise out of the activities or operations of the Demerged Business Undertaking;

4.6.2 the specific loans or borrowings (including, notes and other debt securities raised, incurred and utilized solely for the activities or operations of the Demerged Business Undertaking); and

4.6.3 in cases other than those referred to in Clauses 4.6.1 or 4.6.2 above, so much of the amounts of general or multipurpose borrowings, if any, of the Demerged Company, as stand in the same proportion which the value of the assets transferred pursuant to the demerger of the Demerged Business Undertaking bear to the total value of the assets of the Demerged Company immediately prior to the Appointed Date;

4.7 The vesting of the Demerged Business Undertaking in the Resulting Company pursuant to this Scheme shall be subject to the encumbrances, if any, subsisting on the assets forming part of the Demerged Business Undertaking only in respect of the loans, borrowings, financing or debts transferred to and assumed by the Resulting Company. Such encumbrances shall be confined exclusively to the specific assets on or over which they subsist as on the Effective Date and shall not extend to or apply over any other assets of the Resulting Company. Any reference in any security document or arrangement to which the Demerged Company is a party, insofar as it relates to the assets of the Demerged Business Undertaking, shall be construed accordingly. In so far as the assets forming part of the Demerged Business Undertaking are concerned, any encumbrance relating to loans, liabilities, borrowings or other debts not transferred to the Resulting Company and continuing with the Demerged Company shall, without any further act, instrument or deed, stand released from such assets and shall cease to operate as security in relation to such liabilities, and the Demerged Company shall provide such alternative security as may be agreed with the relevant lenders. Similarly, in so far as the assets forming part of the Remaining Business of the Demerged Company are concerned, any

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encumbrance relating to loans, liabilities, borrowings or other debts transferred to and assumed by the Resulting Company pursuant to this Scheme shall, without any further act, instrument or deed, stand released from such assets, and the Resulting Company shall provide such alternative security as may be agreed with the relevant lenders. It is further clarified that the Resulting Company shall not be required to create any additional security over the assets vested in it pursuant to this Scheme in respect of its existing indebtedness, and no encumbrance in respect of such indebtedness shall automatically extend to or apply over the assets so vested. The absence of any formal amendment or confirmation required by any lender, trustee or third party shall not affect the operation of this Clause.

4.8 The Scheme shall not in any manner prejudice or adversely affect the rights of the creditors, if any, of the Demerged Company or the Resulting Company. In particular, the secured and unsecured creditors of the Demerged Company shall continue to enjoy and retain their respective rights, interests and security, if any, over the assets securing their claims, and no such security shall be extinguished, diminished or modified by reason of this Scheme.

Bank accounts

4.9 On and from the Effective Date, and thereafter, the Resulting Company shall be entitled to operate all bank accounts, demat accounts, if any, pertaining to the Demerged Business Undertaking of the Demerged Company and realise all monies and complete and enforce all pending contracts and transactions and to accept stock returns and issue credit notes in relation to the Demerged Business Undertaking in the name of the Resulting Company in so far as may be necessary until the transfer of rights and obligations of the Demerged Company for the Demerged Business Undertaking to the Resulting Company under this Scheme have been formally given effect to under such contracts and transactions.

Taxation matters

4.10 Taxes, if any, paid or payable by the Demerged Company after the Appointed Date and specifically pertaining to its Demerged Business Undertaking shall be treated as paid or payable by the Resulting Company and Resulting Company shall be entitled to claim the credit, refund or adjustment for the same as may be applicable. Without prejudice to the generality of the foregoing, on and from the Appointed Date, if any certificate for tax deducted or collected at source or any other tax credit certificate relating to the Demerged Business Undertaking is received in the name of Demerged Company, or tax credit relating to the Demerged Business Undertaking is appearing in Form 168 of the Demerged Company, it shall be deemed to have been received by and in the name of the Resulting Company which alone shall be entitled to claim credit for such tax deducted or paid.

4.11 The unutilized credits (including balances and advances) relating to excise duties, sales tax, service tax, VAT, GST or any other Taxes by whatever name called as applicable, pertaining to the Demerged

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Business Undertaking from on the Effective Date shall be transferred to and vest in the Resulting Company upon filing of requisite forms in consonance with and in compliance of relevant provisions of respective laws.

4.12 Upon Scheme becoming effective, the Demerged Company and the Resulting Company are expressly permitted to revise their financial statements and its income tax returns along with prescribed forms, filings and annexures under the IT Act and other statutory returns, including but not limited to tax deducted/collected at source returns, service tax returns, excise tax returns, sales tax/VAT/GST returns, as may be applicable for the period commencing on and from the Appointed date to give effect to the demerger and transfer of the Demerged Business Undertaking from the Demerged Company to the Resulting Company and any matter connected therewith. The Resulting Company has expressly reserved the right to make such provision in its returns and to claim refunds, advance tax credits, credit of tax deducted at source, credit of foreign taxes paid/withheld, etc., if any, as may be required for the purposes of/consequent to implementation of the Scheme. All compliances done by the Demerged Company on and from the Appointed Date pertaining to the Demerged Business Undertaking will be considered as compliances done by the Resulting Company.

4.13 Income tax benefits and exemptions, all tax holidays, rebates, indirect tax benefits and exemptions (including benefits, entitlements, incentives, exemptions, subsidies, customs, excise, service tax, VAT, sales tax, goods and services tax, as applicable), in connection with or relating to the Demerged Business Undertaking whether on, before or after the Appointed Date, if any, shall, without any further act, instrument or deed, cost or charge and without any notice or other intimation to any third party for the transfer of the same be and stand vested in and/or be deemed to be vested in Resulting Company as a part of the transfer of the Demerged Business Undertaking as a going concern, so as to become, as and from the Appointed Date, the income tax benefits and exemptions, tax holidays, rebates, indirect tax benefits and exemptions (including benefits, entitlements, incentives, exemptions, subsidies, customs, excise, service tax, VAT, sales tax, goods and services tax, as applicable), other rights, benefits and liabilities related thereto, of Resulting Company and shall remain valid, effective and enforceable on the same terms and conditions. It is further clarified that they shall be deemed to have originally been given by, issued to or executed in favour of Resulting Company, and Resulting Company shall be bound by the terms thereof and the obligations and duties thereunder, and the rights and benefits under the same shall be available to Resulting Company.

4.14 The Resulting Company shall be entitled to claim deduction under Section 37 of the IT Act in respect of unpaid liabilities transferred to it as part of the Demerged Business Undertaking to the extent not claimed by the Demerged Company, as and when the same are paid by the Resulting Company or paid by the Demerged Company on behalf of the Resulting Company, subsequent to the Appointed Date.

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4.15 All Tax assessment proceedings/appeals of whatsoever nature by or against the Demerged Company pertaining to the Demerged Business Undertaking prior to the Effective Date shall be continued and/or enforced against the Demerged Company.

Contracts, Deeds, Approvals, Exemptions, etc.

4.16 Subject to the other provisions of this Scheme, all contracts, guarantees, deeds, bonds, agreements, arrangements and other instruments of whatsoever nature in relation to the Demerged Business Undertaking, to which the Demerged Company is a party and which are subsisting or having effect on or immediately before the Appointed Date, shall remain in full force and effect against or in favour of the Resulting Company and shall be binding on and enforceable by and against the Resulting Company as fully and effectually as if the Resulting Company had at all material times been a party or beneficiary thereto; the Resulting Company shall, if required, enter into novation agreements, sub-contracting arrangements or execute deeds, writings or confirmations in relation thereto and procure that the same are formally taken on record or recognised by the appropriate authorities; and notwithstanding that the vesting of the Demerged Business Undertaking occurs pursuant to this Scheme, the Demerged Company and/or the Resulting Company may, at any time, if so required under applicable law or otherwise, take such actions and execute such deeds (including deeds of adherence), confirmations, writings or tripartite arrangements with any party to such contracts or arrangements as may be necessary to give effect to this Scheme, and the Resulting Company shall be deemed to be authorised to execute such documents and carry out all such formalities and compliances on behalf of the Demerged Company; further, on and from the Effective Date, the Resulting Company shall be entitled to enforce all pending contracts and transactions and issue credit notes in relation to the Demerged Business Undertaking in its own name, to the extent necessary until the transfer of rights and obligations under such contracts and transactions is fully given effect to.

4.17 Without prejudice to the provisions of provisions of the foregoing clauses and upon the Scheme becoming effective, the Resulting Company shall, at any time thereafter, execute and deliver such deeds, instruments, agreements or writings, in favour of the creditors of the Demerged Company in relation to and arising out of the Demerged Business Undertaking, or in favour of any other party to any contract, arrangement or understanding relating to the Demerged Business Undertaking to which the Demerged Company is a party, as may be required under applicable law or otherwise, in order to give formal effect to the provisions of this Scheme. For this purpose, the Resulting Company shall be deemed to be duly authorised to execute such documents and to take all necessary actions, compliances and formalities on behalf of the Demerged Company to effectively implement the Scheme.

4.18 Without prejudice to the foregoing provisions of this Scheme, the Demerged Company and/or the Resulting Company shall be entitled to apply to the Appropriate Authorities as are necessary under

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any law for such consents, approvals and sanctions which the Resulting Company may require and execute any and all instruments or documents and do all the acts and deeds as may be required, including filing of necessary particulars and/or modification(s) of charge, with the concerned RoC or filing of necessary applications, notices, intimations or letters with any Appropriate Authority or Person, to give effect to the above provisions.

5. LEGAL PROCEEDINGS

5.1 Upon the coming into effect of this Scheme, proceedings relating to the Demerged Business Undertaking (except proceedings under the IT Act) shall not abate or be discontinued or be in any way prejudicially affected by reason of this Scheme or by anything contained in this Scheme but shall be continued and be enforced by or against the Resulting Company with effect from the Effective Date in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company. Nothing in this clause shall apply to Tax proceedings relating to a period prior to the Effective Date and the same shall continue with the Demerged Company.

5.2 The Resulting Company: (a) shall be replaced/added as party to such proceedings relating to the Demerged Business Undertaking; and (b) shall prosecute or defend such proceedings at its own cost and the liability of the Demerged Company shall consequently stand nullified.

5.3 It is clarified that except as otherwise provided herein, the Demerged Company shall in no event be responsible or liable in relation to any proceedings relating to the Demerged Business Undertaking that stand transferred to the Resulting Company.

5.4 The Resulting Company undertakes to have all legal and other proceedings (except proceedings under the IT Act) initiated by or against the Demerged Company referred to in Clause 5.1 above transferred to its name as soon as is reasonably practicable after the Effective Date and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company on priority. The Demerged Company and the Resulting Company shall make relevant applications and take all steps as may be required in this regard.

5.5 Notwithstanding anything contained herein above, if at any time after the Effective Date, the Demerged Company is in receipt of any demand, claim, notice and/ or is impleaded as a party in any proceedings before any Appropriate Authority (except proceedings under the IT Act), in each case in relation to the Demerged Business Undertaking, the Demerged Company shall, in view of the transfer and vesting of the Demerged Business Undertaking pursuant to this Scheme, take all such steps in the proceedings before the Appropriate Authority to replace the Demerged Company with the Resulting Company. However, if the Demerged Company is unable to get the Resulting Company replaced in its place in such proceedings, the Demerged Company shall defend the same or deal with such demand

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in accordance with the advice of the Resulting Company and at the cost of the Resulting Company and the latter shall reimburse to the Demerged Company all liabilities and obligations incurred by the Demerged Company in respect thereof.

6. STAFF & EMPLOYEES

6.1 Upon the effectiveness of this Scheme, the Resulting Company undertakes to engage all employees engaged in the Demerged Business Undertaking, without any break in their service and on the basis of continuity of service, on terms and conditions not less favorable than those on which they are engaged by the Demerged Company. The Resulting Company agrees that the services of all such employees with the Demerged Company prior to the demerger shall be taken into account for the purposes of all existing benefits to which they may be eligible, including payment of any retrenchment compensation, gratuity and other retiral/terminal benefits and to this effect the accumulated balances, if any, standing to the credit of such employees in the existing provident fund, gratuity fund and superannuation fund of which they are members will be transferred to such provident fund, gratuity fund and superannuation funds nominated by the Resulting Company and/ or such new provident fund, gratuity fund and superannuation fund to be established in accordance with Applicable Law and caused to be recognized by the Appropriate Authorities, by the Resulting Company. The decision as to whether an employee is part of the Demerged Business Undertaking, be decided by the Demerged Company, and shall be final and binding on all concerned.

6.2 Pending the transfer as aforesaid, the provident fund, the gratuity fund and superannuation fund dues of the said employees engaged in the Demerged Business Undertaking would be continued to be deposited in the existing the provident fund, gratuity fund and superannuation fund respectively of the Demerged Company.

7. CONSIDERATION

The entire issued, subscribed and paid-up equity share capital of the Demerged Company is held by the Resulting Company and its nominee(s). Upon the Scheme becoming effective, no shares of the Resulting Company shall be allotted as consideration for the demerger from the Demerged Company under this Scheme.

8. ACCOUNTING TREATMENT

The Demerged Company and the Resulting Company shall account for the Scheme in their respective financial statements in accordance with applicable Indian Accounting Standards (Ind AS) notified under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015 and generally accepted accounting principles in India, as amended from time to time, as provided herein below:

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8.1 **Accounting treatment in the books of the Demerged Company:**

8.1.1 Upon the Scheme becoming effective, the Demerged Company shall derecognise all the assets and liabilities pertaining to the Demerged Business Undertaking, transferred to and vested in the Resulting Company pursuant to the Scheme, at their respective carrying value as reflecting in the books of accounts of the Demerged Company as on the effective date of the Scheme.

8.1.2 The difference if any, between the carrying value of the assets and liabilities of the Demerged Business Undertaking transferred to Resulting Company as per Clause 8.1.1. above, shall be recognised in "Other Equity" and shall be adjusted in the following order:

(i) first, against the total amount lying to the credit of the 'Retained Earnings', if any; and
(ii) then, against the total amount lying to the credit of the 'Capital Reserve on merger', if any.

8.2 **Accounting treatment in the books of the Resulting Company:**

Notwithstanding anything else contained in the Scheme, upon the Scheme becoming effective, the Resulting Company shall account for the Scheme in its books of account in accordance with 'pooling of interest method' as laid down in Appendix C 'Business combinations of entities under common control' of Ind AS 103, "Business Combinations" notified under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015 as amended and other generally accepted accounting principles in India, as provided herein below:

8.2.1 The Resulting Company shall record the assets and liabilities pertaining to the Demerged Business Undertaking, transferred to and vested in it pursuant to the Scheme, at their respective carrying value as appearing in the books of the Demerged Company; and the identity of the reserves pertaining to the Demerged Business Undertaking shall be preserved, and they shall appear in the financial statements of the Resulting Company in the same form and manner in which they appeared in the financial statements of the Demerged Company;

8.2.2 Any inter-company balance between the Demerged Company and the Resulting Company relating to the Demerged Business Undertaking shall stand cancelled and there shall be no further obligation / outstanding in that behalf;

8.2.3 In case of any differences in accounting policy between the Demerged Company and the Resulting Company, the accounting policies followed by the Resulting Company shall prevail and the impact of the same will be quantified and adjusted in Retained Earnings of the

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Resulting Company, to ensure that the financial statements of the Resulting Company reflect the financial position on the basis of consistent accounting policies;

8.2.4 The difference between the aggregate of the amount of assets, liabilities and reserves transferred to the Resulting Company pursuant to Clause 8.2.1. after giving effect to Clause 8.2.2. and Clause 8.2.3., if surplus, shall be credited to Capital Reserve in the books of the Resulting Company and would be presented separately from other capital reserves with disclosure of its nature and purpose in the notes to the financial statements of the Resulting Company, and if the aforesaid difference is a deficit, then such deficit shall be adjusted against the capital reserve and revenue reserves of the Resulting Company in that order, and balance if any left, shall be debited to 'Demerger Adjustment Reserve' under Other Equity.

8.2.5 The comparative financial information presented in the financial statements of Resulting Company shall be restated as if the business combination had occurred from the beginning of the comparative period in the financial statements or from the date from which the Demerged Company and the Resulting Company came under common control, whichever is later.

8.3 The utilization of the 'Capital Reserve on merger' of the Demerged Company pursuant to Clause 8.1.2 above, being consequential in nature, is proposed to be affected as an integral part of the Scheme. The order of the Tribunal sanctioning the Scheme shall be sufficient and no separate process or approval under the Act is required. Accordingly, the Demerged Company shall not be required to separately comply with the applicable provisions of the Act including Section 66 of the Act, with respect to utilization of this reserve.

9. SAVING OF CONCLUDED TRANSACTIONS

Nothing in this Scheme shall affect any transaction or proceedings already concluded or liabilities incurred by the Demerged Company in relation to the Demerged Business Undertaking until the Effective Date, to the end and intent that the Resulting Company accepts and adopts all acts, deeds and things done and executed by the Demerged Company in respect thereto as done and executed on behalf of the Resulting Company.

10. VALIDITY OF EXISTING RESOLUTIONS

Upon the coming into effect of the Scheme, the resolutions, if any, passed by the Demerged Company relating to the Demerged Business Undertaking, which are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions passed by the Resulting Company, and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, such limits shall be added to the limits, if any, under

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like resolutions passed by the Resulting Company, and shall constitute the aggregate of the said limits in the Resulting Company.

11. WRONG POCKET ASSETS

11.1 Unless otherwise specified in the terms of the Scheme, no part of the Demerged Business Undertaking shall be retained by the Demerged Company after the Effective Date pursuant to the demerger. If any part of any of the Demerged Business Undertaking is inadvertently or otherwise not transferred to the Resulting Company on the Effective Date pursuant to this Scheme, the Demerged Company shall take such actions as may be reasonably required to ensure that such part of the relevant Demerged Business Undertaking, as the case may be, is transferred to the Resulting Company promptly and for no further consideration, and without any Tax implications. The Demerged Company shall bear all costs and expenses as may be required to be incurred by each of the Demerged Company or the Resulting Company, for giving effect to this Clause.

11.2 No part of the Remaining Business shall be transferred to the Resulting Company pursuant to the Scheme. If any part of the Remaining Business is inadvertently or otherwise held by the Resulting Company after the Effective Date, the Resulting Company shall take such actions as may be reasonably required to ensure that such part of the Remaining Business is transferred back to the Demerged Company, promptly and for no consideration, and without any Tax implications. The Resulting Company shall bear all costs and expenses as may be required to be incurred by each of the Demerged Company or the Resulting Company for giving effect to this Clause.

11.3 If the Demerged Company realizes any amounts after the Effective Date that form part of the Demerged Business Undertaking, it shall immediately make payment of such amounts to the Resulting Company. It is clarified that all receivables relating to the Demerged Business Undertaking, for the period beginning from Appointed Date, but received after the Effective Date, shall be paid to the Resulting Company for no additional consideration, and without any Tax implications. If the Resulting Company realizes any amounts after the Effective Date that pertains to the Demerged Company or the Remaining Business, the Resulting Company shall immediately pay such amounts to the Demerged Company. Similarly, if the Demerged Company discharges any Demerged Business Undertaking Liabilities after the Effective Date, the Resulting Company shall make payment of such amounts to the Demerged Company. If the Resulting Company discharges any Demerged Company or the Remaining Business liabilities after the Effective Date, the Demerged Company shall make payment of such amounts to the Resulting Company.

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PART III

GENERAL TERMS AND CONDITIONS

12. REMAINING BUSINESS

12.1 The Remaining Business and all the assets, investments, liabilities and obligations of the Demerged Company, shall continue to belong to and be vested in and be managed by the Demerged Company.

12.2 All legal, Taxation and/or other proceedings by or against the Demerged Company under any statute, whether pending on the Effective Date or which may be instituted at any time thereafter and relating to the Remaining Business of the Demerged Company (including those relating to any property, right, power, liability, obligation or duties of the Demerged Company in respect of the Remaining Business) shall be continued and enforced against the Demerged Company. The Resulting Company shall in no event be responsible or liable in relation to any such legal or other proceedings in relation to the Remaining Business.

12.3 If the Resulting Company is in receipt of any demand, claim, notice and / or is impleaded as a party in any proceedings before any Appropriate Authority, in each case in relation to the Remaining Business of the Demerged Company, the Resulting Company shall take all such steps in the proceedings before the Appropriate Authority to substitute the Resulting Company with the Demerged Company. However, if the Resulting Company is unable to replace the Demerged Company in such proceedings, the Resulting Company shall defend the same or deal with such demand at the cost of the Demerged Company and the latter shall reimburse the Resulting Company, against all liabilities and obligations incurred by or against the Resulting Company, in respect thereof.

13. DIVIDENDS

13.1 During the pendency of the Scheme, the Parties shall be entitled to declare and pay dividends, to their respective shareholders in consistent with the past practice or in ordinary course of business, whether interim or final. Any other dividend shall be recommended/declared only by the mutual consent of the concerned Parties.

13.2 The holders of the shares of the Demerged Company and the Resulting Company shall, save as expressly provided otherwise in this Scheme, continue to enjoy their existing rights under their respective articles of association including the right to receive dividends.

13.3 It is clarified that the aforesaid provisions in respect of declaration of dividends (whether interim or final) are enabling provisions only and shall not be deemed to confer any right on any shareholder of

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the Parties to demand or claim or be entitled to any dividends which, subject to the provisions of the said Act, shall be entirely at the discretion of the respective Boards of the Parties as the case may be, and subject to approval, if required, of the shareholders of the Parties as the case may be.

14. CONDUCT OF BUSINESS / TRANSACTIONS UPTO THE EFFECTIVE DATE BY THE DEMERGED COMPANY

With effect from the Appointed Date and including the Effective Date:

14.1 The Demerged Company (with respect to the Demerged Business Undertaking) shall carry on its business and activities with reasonable diligence, business prudence and shall not, except in the ordinary course of business alienate, charge, mortgage, encumber or otherwise deal with or dispose of any business or part thereof.

14.2 The Demerged Company (with respect to the Demerged Business Undertaking) shall be deemed to have been carrying on and shall carry on its business and activities and shall be deemed to have held and stood possessed of and shall hold and stand possessed of the assets for and on account of, and in trust for the Resulting Company.

14.3 The Demerged Company and/or the Resulting Company shall be entitled, pending the sanction of the Scheme, to apply to the Appropriate Authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Resulting Company may require to carry on the business of the Demerged Company with respect to the Demerged Business Undertaking and to give effect to the Scheme.

14.4 The Demerged Company shall not vary the terms and conditions of employment of any of the employees of the Demerged Company (with respect to the Demerged Business Undertaking), except in the ordinary course of business or without the prior consent of the Resulting Company or pursuant to any pre-existing obligation undertaken by them upto the Effective Date.

14.5 All profits or income arising or accruing to the Demerged Company with respect to the Demerged Business Undertaking and all Taxes paid thereon (including but not limited to advance tax, tax deducted or collected at source, minimum alternate tax, dividend distribution tax, securities transaction tax, taxes withheld/ paid in a foreign country, etc.) or losses arising or incurred by the Demerged Company with respect to the Demerged Business Undertaking shall, for all purposes, be treated as and deemed to be the profits or income, Taxes or losses, as the case may be, of the Resulting Company;

15. FACILITATION PROVISIONS

15.1 Immediately upon the Scheme being effective, the Demerged Company and the Resulting Company, may enter into necessary arrangements including lease, sub-lease, leave and license or other arrangements in respect of immovable property, brand licensing agreements, sub-contracting agreements, sub-licensing agreements and shared services agreements, as may be necessary, *inter alia* in relation to use by the Resulting Company, of brands, office space, infrastructure facilities, information technology services, employee/ staff, tax, audit, finance, secretarial, human resource service, security personnel, legal, administrative and other services, etc. pertaining to the Demerged Business Undertaking, so as to give full effect to the provisions of this Scheme, each, on such terms and conditions that may be agreed between the Parties and on payment of consideration on an arm's length basis and which are in the ordinary course of business.

15.2 It is clarified that approval of the Scheme by the shareholders of the Demerged Company and the Resulting Company, under Sections 230 to 232 of the Act shall be deemed to have their approval under, Section 188 and other applicable provisions of the Act and that no separate approval of the Board or shareholders shall be required to be sought by Demerged Company and the Resulting Company.

16. APPLICATIONS / PETITIONS TO THE NCLT

16.1 The Parties shall make and file all applications and petitions under Sections 230 to 232 and other applicable provisions of the Act before the Tribunal, under whose jurisdiction, the registered offices of the respective Parties are situated, for sanction of this Scheme under the provisions of Applicable Law, and shall apply for such approvals as may be required under Applicable Law.

17. MODIFICATIONS/AMENDMENTS TO THE SCHEME

The Board of Parties may make any modifications or amendments to this Scheme at any time and for any reason whatsoever, or which may otherwise be considered necessary or appropriate. The Board of the Parties may consent to any conditions or limitations that the Tribunal or any other Appropriate Authority may impose.

18. REMOVAL OF DIFFICULTIES

18.1 The Demerged Company and the Resulting Company through their respective Board of Directors, acting themselves or through authorized persons or through sub-committee of the Board may jointly but not individually give and are jointly authorized to give such directions as they may consider necessary to settle any question or difficulty arising under the Scheme or in regard to and of the

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meaning or interpretation of the Scheme or implementation hereof or in any matter whatsoever connected therewith (including any question or difficulty arising in connection with any deceased or insolvent shareholders of the respective companies), or to review the position relating to the satisfaction of various conditions to the Scheme and if necessary, to waive any of those (to the extent permissible under Applicable Law).

18.2 Any issue as to whether any asset, liability, employee or litigation pertains to the Demerged Business Undertaking or not shall be decided by the Boards of the Demerged Company and the Resulting Company, on the basis of evidence that they may deem relevant for the purpose (including the books and records of the Demerged Company).

19. SEVERABILITY

19.1 If any part of this Scheme is found to be unworkable for any reason whatsoever, the same shall not, subject to the mutual agreement of the Demerged Company and the Resulting Company in writing, affect the validity or implementation of the other parts and/or provisions of this Scheme.

20. CONDITIONALITY OF THE SCHEME / CONDITIONS PRECEDENT

20.1 Unless otherwise decided (or waived) by the Board of Directors of relevant Parties, this Scheme is conditional upon and subject to the following:

20.1.1 The Scheme being approved by the requisite majority of each class of shareholders and / or creditors of the Demerged Company and Resulting Company, as applicable or as may be required under the Act and as may be directed by the NCLT;

20.1.2 The sanction of this Scheme by the NCLT under Sections 230 to 232 of the Act, and other applicable provisions, if any of the Act; and

20.1.3 Requisite form along with certified or authenticated copy of the order of the NCLT sanctioning the Scheme being filed with the respective RoC by the Parties as may be applicable.

21. EFFECT OF NON-RECEIPT OF APPROVALS

21.1 The Parties acting through their respective Boards shall each be at liberty to withdraw this Scheme: (a) in case any condition or alteration imposed by any Appropriate Authority is unacceptable to any of them; or (b) they are of the view that coming into effect of this Scheme could have adverse implications on the respective Parties; or (c) If this Scheme is not effective within such period as may be mutually agreed upon amongst the Parties through their respective Boards.

22. COSTS, CHARGES AND EXPENSES

All costs, charges and expenses payable in relation to or in connection with this Scheme and incidental to the completion of the transfer and vesting of the Demerged Business Undertaking in the Resulting Company, in pursuance of this Scheme including stamp duty, if any, on the order(s) of the NCLT, to the extent applicable and payable shall be borne and paid by the Demerged Company

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